

bilise deposits. He explains that banks have headway to increase deposit rates, if required, as the rates have lagged the 250-bps hike in repo rate—the rate at which the central bank lends money to commercial banks. While it may seem that bank deposits are currently less favoured compared to other asset classes, specifically equity mutual funds that grow at faster rates, “equity mutual funds and bank deposits are not comparable as both cater to different needs, time horizons and risk appetites”, says Gupta.

Former SBI Chairman Dinesh Kumar Khara, who is the winner of this year's Lifetime Achievement Award, has a different take. “When it comes to deposits, it's not that deposits aren't available—they are, but at a price. This is tied to the choices depositors make. Some prefer safer options with no risk, while others are willing to take risks and allocate their savings to market-linked products,” he explains.

ASSET-SIDE CHALLENGES

In November 2023, RBI decided to curb the growth in unsecured lending, especially personal loans and credit cards, by increasing the capital requirement. It also restricted the capital flow from banks to NBFCs. As the high growth in riskier unsecured loans slowed down subsequently, then RBI Governor Shaktikanta Das mentioned that the central bank's endeavour was to smell a crisis early and act on it. “...not taking any action on the unsecured lending front would have created bigger problems,” Das had said.

The stress in the microfinance (MFI) portfolio has also been visible across lenders that have considerable exposure to the segment, be it NBFC-MFIs, small finance banks (SFBs) or larger banks. This is partly attributed to a K-shaped recovery in the economy and probably liberal underwriting by some lenders. In fact, SFBs are the worst affected even as they are diversifying their books to include more

Banks are struggling to get low-cost current and savings account deposits

There is stress in micro-loans, which have shown deterioration in asset quality

Unsecured loans, which give high yields, are under the scanner of RBI, the regulator

Corporate banking is yet to pick up in the country

Investors are still cautious about banking stocks and their valuations are stagnant



secured loans. Kulkarni of Axis Securities PMS says the stress is not just from the MFI portfolio.

“It is visible in other unsecured portfolios such as credit cards and personal loans. However, the asset quality in other secured segments and corporate portfolios continues to hold up well,” Kulkarni says.

Gupta of Prime Research & Advisory says the impact is also on select full-scale banks, apart from SFBs and NBFC-MFIs. “The impact appears limited to the micro part of the MSME portfolio; small and medium enterprises are better off,” he explains.

THE IMPACT ON RETURNS

Generally for banks, it has always been the changes on the assets side that have impacted returns, because of underwriting of bad credit. But this time around, the liabilities side challenges have also started erupting, which is building pressure on NIMs. Will the deposit challenge and stress in select portfolios affect the banking sector's NIMs?

“My sense is that because it's a highly competitive space, nobody could be permitted to have super normal profits, which means that the NIMs will be range-bound,” says Khara. *(Read a detailed story on the former SBI chairman, who has won the Lifetime Achievement Award this year, on page 38).*

“We believe margins for banks, ex-SFBs are likely to have largely bottomed-out and should stabilise hereon, with Cost of Funds (CoF) having peaked out. We expect slippages from the troubled segments to continue to remain elevated in H2; however, the impact on NIMs may not be very significant,” says Kulkarni of Axis Securities PMS.

He, however, believes that for SFBs, NIM compression will continue primarily on the back of a shift in the portfolio mix towards secured products and from elevated slippages from the MFI portfolio.